Supply resilience: a leadership briefing

Restoring delivery through a component crisis

How Schneider Electric's Process Automation business recovered its delivery performance after the post-COVID component shortage, and what the recovery required of leadership.

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When supply is constrained, most organisations discover that cost has an owner and continuity does not. Procurement is measured on price, sales on orders and the plant on output, while the question of what must ship first, and what the business will pay to make that happen, sits between functions. This briefing sets out how that gap was closed for one business during the most severe component shortage in recent memory, and the results it produced.

Mandate	Recover delivery of Process Automation products, and hold the chain end to end, from demand projection to the delivery date committed to the customer.
Scope	Four product families with a multi-million-dollar monthly output, produced mainly at the Mexico factory. More than 20 suppliers and more than 20 customers, across Asia, Africa, the Americas and Australia.
The crisis	From 2021, lead times on electronic components rose sharply, and finished-product lead times rose to many times their normal level.
Authority	A management mandate over delivery prioritisation and customer commitments, with no reporting line over the functions involved.
Outcome	Lead times down by around 60 to 70% from their peaks across the main product families. On-time delivery up from under 50% to over 70%.

1. The situation: a shortage that reached the customer

After COVID, the supply of electronic components tightened sharply. Lead times for finished products rose with it, and customers used to far shorter waits felt the effect directly. The lead product family was a market leader and carried the largest share of turnover, so its delivery mattered most. The shortage exposed four structural weaknesses.

- **Limited visibility of supply.** Available inventory and next supply dates were often uncertain, which produced surprises late in the chain.
- **Cost as the only procurement measure.** Procurement was held to cost targets, and no one on that side owned the decision on what was critical. Delays followed.

- **Challenges in supplier relationships.** Some of the obstacles lay outside the supply itself, in the commercial relationship with suppliers, and had to be resolved before material could flow.
- **Competing claims on scarce supply.** Orders had to be prioritised across sales and customer-facing teams, and customers needed clear delivery dates.

2. The mandate: one owner for continuity

In 2021 the Head of R&D asked me to take this on, alongside leading the India GCC. It became a full-time role in April 2024, on site in Boston. I had no team and no reporting line over procurement, manufacturing, sales or logistics. What I had was a formal mandate from the management team, and an obligation on those functions to involve the role.

- **Prioritisation.** After weekly reviews with customers, customer-facing teams and sales, I decided which deliveries came first. Other teams followed that call.
- **Commitments.** I set the delivery dates committed to customers, and was the single point of contact for delivery escalations, including emergency requests.
- **Visibility.** The functions shared a weekly report of shipped orders.

> Results came from a shared view of the risk, a steady cadence and decisions that were visible to everyone. Authority came through the mandate, with no reporting line behind it.

3. The method: a criticality lens

Effort had to go where a stoppage would hurt most. The lens worked in three stages and ended in a decision for every critical item.

- **Critical product line.** Where a stoppage hurts customers and revenue most. This was one family of about 20 products and several hundred components.
- **Critical products.** Ranked by demand, function and customer impact.
- **Critical components.** Placed on a nine-box grid by market supply conditions, degree of customisation, criticality and availability of alternates. This singled out close to 100 very critical components.
- **A decision for each.** Alternates were identified with R&D for about 60 to 70% of them and written into the bill of materials. The rest were covered by safety stock. Dual sourcing ran in parallel.

The lens added the continuity view alongside cost discipline, and anchored every decision to the product roadmap.

4. A portfolio of levers

No single fix brought lead times down. The same approach applied to all four product families, with intensity varied by their importance, and the recovery came from the levers working together.

Lever	Risk it removes	How it was applied
Alternates	Long or uncertain lead times	Reviewed and approved with R&D, on the condition that they enabled earlier delivery. Written into the bill of materials, with purchasing begun on availability.

Lever	Risk it removes	How it was applied
Safety stock	Components with no alternate	Sized on cost, market availability, quality, business impact and the original component's supply pipeline.
Dual sourcing	Single-source exposure	Supplier identified with procurement, samples tested by R&D, cost and reliability reviewed.
Premium purchases	Parts unavailable through normal channels	Recommended from a criticality view, with the business impact set out for each, and approved by finance.
Product roadmap	End-of-life and paired products	Replacement timing used to plan volume and spend, alternates suggested for products nearing end of life, and products that work as a unit shipped together.
Customer communication	Uncertainty over delivery dates	Weekly prioritisation with sales and customers, followed by clear, communicated dates.

5. Governing the trade-offs

A shortage forces decisions at the boundary of cost, supply and customer. Each was made explicit, with an owner, a business case and an approval.

- **Cost against continuity.** Off-market components cost between three and almost ten times the normal price. Each purchase was recommended on supply criticality, with its business impact set out, and that case was the basis for finance approval. Premium spend peaked in 2023.
- **Supplier relationships.** Supplier visits validated set-up, quality and committed timelines. Where challenges beyond the supply itself stood in the way, they were escalated internally and resolved with the required approvals.
- **Customer priority.** Priority was decided only after checking factory status, component supply and existing commitments, and shipment modes were changed where a commitment needed protecting.

6. The operating rhythm

Stage	Rhythm	What it did
Demand review	Weekly, on a three-month rolling forecast	Projections were challenged, not just accepted: checked against prior-year actuals, the historical gap between forecast and actual, and inputs from sales, product development and the factory.
Crisis forum	Weekly, from 2021	Senior leaders from finance, procurement, R&D, production and sales, working from one weekly report: status, new challenges, items resolved and pending, impacted orders and customers, and a rolling action list.
Supply planning	Monthly plan, weekly progress	Production plans, capacity, stock buffers and obsolescence risk reviewed each cycle, with production raised when quarterly targets required it.
Prioritisation	Weekly, plus emergencies	Reviewed with customers, customer-facing teams and sales. Priorities decided and delivery dates set.

Stage	Rhythm	What it did
Plant and suppliers	Daily contact, monthly visits	Proximity to production and to suppliers kept the picture honest.

7. Results, honestly read

Lead times, measured from order to shipment, fell by around 60 to 70% from their peaks across the three main product families, and the lead family recovered most of the ground it had lost. The fourth and smallest family was affected to a lesser degree.

- **On-time delivery** rose from under 50% to over 70% overall, with some lines above 90%. It should be read against its baseline, a shortage in which lead times had risen to many times their normal level.
- **Customer confidence** returned. Customers felt significant relief, and the business regarded the recovery as a major achievement.
- **The final stretch was paced on purpose.** Lead times did not return fully to pre-COVID levels. Component supply never fully normalised, a further reduction was on the roadmap, and the business chose to move deliberately on the last weeks, balancing lead time against inventory cost.

What leadership teams can take from this

- **Give continuity an owner.** Put the question of what is critical alongside cost discipline, with one accountable view across the chain.
- **Invest in visibility early.** Better systems to track the chain and material availability would have removed many of the surprises. This is what I would do differently.
- **Pay for certainty deliberately.** A premium is a decision with a business case and an approval, not a reflex.
- **Measure procurement on more than cost.** A cost-only measure leaves no one owning criticality when supply tightens.
- **Lead through mandate and rhythm.** A cross-functional forum, one report and clear decision rights can align an enterprise without changing its reporting lines.

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